Zhangrun, while the costs do. A few academics are courageous and speak up like this, but most would prefer silence.

This is similar to the standard economics argument about individual incentive leading to an underinvestment in higher education, as the decision maker does not value the spillovers, the positive externalities for society at large.

When an Andrei Sakharov goes up against a regime, the critic instantly earns respect. When an individual goes up against a billionaire, the details are more intricate, billionaires are able to resort to tactics that governments cannot employ, and there is less moral clarity. There will thus be an even greater under-supply of criticism of billionaires.

In a village economy, everyone knows everyone else, and economic relationships are efficiently organized under conditions of high information. In a modern market economy, however, many key relationships take place under substantial asymmetric information.

In an environment where information is suppressed, there is greater fear about what lies beneath. This hampers trust and arm's-length relationships.

As an example, in 2012, the research firm Veritas Investment Research Corporation wrote a research report about a firm. Two years later, the authors of the report were taken into custody by the Gurgaon police. After such an event, arm's-length investors became more concerned about the possibility that there is bad news about firms in India that is not being honestly revealed into the public domain.

Voting turns conflict into better decisions

Consider a formal or informal meeting where multiple persons, with diverse interests, come into a room to make a decision. How can the conflict be channelled most effectively, so that the knowledge and the interests of all persons in the room are well represented and a good compromise is obtained?